COVER STORY

DECLARE YOUR FINANCIAL INDEPENDENCE

Financial obligations, bills, EMIs and the ticking clock making you feel shackled? Don't worry, you are not alone, and there are ways to free yourself of these constraints

By Narayan Krishnamurthy

Who does not aspire to be financially independent? Nobody wishes to be dependent on others for money. The bad news is that becoming a financially independent person depends on several factors and circumstances in life. Financial independence does not happen overnight; you need to put yourself on the path to it, and the earlier you declare your pursuit of it, the greater the chances of your achieving it. Use the occasion of India's 75th Independence Day anniversary to embark on the journey to your personal financial independence.

For the uninitiated, financial independence means having enough income to meet your needs without having to work for a living. The premise being, if you are financially independent, your assets will generate sufficient passive income to pay your living expenses for the rest of your life. Another way to understand is that someone who is financially independent is not reliant on others or any employment to meet their financial needs. They can live using their assets and the income they generate.

As one does before undertaking any financial plan, you will need to draw up a roadmap to see how you can achieve financial independence. You will need to imbibe several basic and some complex financial principles unique to you. Define your unique plan and develop a tunnel vision in pursuing it. You could make a start by setting a year by which you wish to become financially independent. Figure out what your financial priorities are. For instance, someone's priority could be becoming debt-free by the age of 45; another may want to save at least 25 per cent of their net income.

↘ DELAYED GRATIFICATION

Have you seen the way some people act when they see something new and they have to get it immediately? Like a new phone model when their existing one is working perfectly fine; or renovating a home they had just done up a few years ago—these people have no sense of self-control when it comes to spending money. They whip out the cash or credit card, feel pleased with their decision and often end up figuring out later that it had cost a bit more than they had assumed. Such a mindset about money can lead you to financial ruin in no time.

FINANCIAL INDEPENDENCE MEANS HAVING ENOUGH INCOME TO MEET YOUR NEEDS WITHOUT HAVING TO WORK FOR A LIVING AS YOUR ASSETS GENERATE PASSIVE INCOME TO MANAGE EXPENSES FOR THE REST OF YOUR LIFE